

Who Profits When a New Kind of Offering Appears?

Brief: the argument and the evidence

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The question

When a new kind of offering appears, the value it creates can go to the firm that brought it, to the firms that follow, or to established firms that already hold what is needed to sell it. The appropriability account says which: the creator keeps the value where the offering is hard to imitate and where the creator holds the complementary assets, such as distribution, manufacturing and know-how; otherwise imitators and the holders of those assets take it (Teece, 1986). The entry-order literature argues the same question from named markets: pioneers keep the markets they open (Lieberman & Montgomery, 1988; Robinson & Fornell, 1985), most pioneers fail and later entrants lead (Golder & Tellis, 1993), and the answer depends on the pace of change (Suárez & Lanzolla, 2007). These claims rest mostly on firms that survived to be studied.

Record, measure and outcome

The US trademark record covers every entrant, including those that failed. Each of 3.1 million registrations issued 2002–2018 carries a dated description of what it sells. Between the fifth and sixth year after registration the owner must swear that the mark is still in commercial use on those goods, or the registration is cancelled; the outcome is *continued commercial use at five years*. Each description is scored on two positions within its industry (Silver, 2026): *atypicality*, how unusual its language is, which largely records language brought in from other industries, and *lead*, whether the industry's later filings moved toward it. Effects below compare the top and bottom of each measure within an industry and year, in points of survival.

What the record shows

1. *New offerings create value; arriving early loses it.* The most unusual filing in its class and year is still in use 5.4 points more often than the most typical, and renewed at year ten 4.3 points more often. The most leading filing is in use 2.2 points less often than the most lagging. No later outcome compensates: leading firms are no more likely to raise private money, to list, or to be bought.

2. *The creator keeps the value where it can be protected.* Owners who patent keep 7.6 points of the advantage of unusual offerings; owners who do not, 3.7. Imitation erodes it: the advantage falls from about 6 points to about 3 between industries whose filing volume grows slowly and those where it grows fast, and from 6.2 to 2.8 as rivals in the same theme concentrate in place. Patents do nothing for the cost of being early.

3. *The cost of being early belongs to the product, and part of it is crowding.* Comparing each firm's leading marks with its own lagging marks, two-thirds of the cost remains (−0.82 points

against -1.22 without the comparison); it is not mainly a matter of weak firms chasing trends. Entry by new firms into the same theme afterwards accounts for about a fifth of it. Within new markets, pioneers and their early followers fail alike.

4. *The value goes to those who hold the complementary assets.* In the surges of new themes, established firms' registrations survive most often (54% against 45% for other entrants) and end up holding more than their share of the marks still in use (19% from 17% of filings). The cost of being early falls on entrants without those assets: self-filed registrations lose survival steadily as lead rises, counsel-represented ones only in the most leading tenth; platform businesses pay about 6 points; and the cost is larger in segments made up mostly of first-time filers.

5. *Industry structure predicts which products survive.* Measures of the five forces (Porter, 1980) built from the record explain half of the variation in survival across 60 product segments. Blind ratings of the same segments by three language models agree: rivalry and substitutes go with lower survival (correlations about -0.55 for each rater), and where a business depends on platforms and suppliers, being early costs more.

What the record does not support

Failed pioneers do not leave value that survivors collect. Later filings that use language first introduced by filings that went on to fail survive less often than their peers, not more.

The answer

A new offering's value goes to its creator where the offering can be protected and the creator holds the assets needed to sell it; elsewhere it goes to followers and to established firms. The claim that pioneers keep their markets and the claim that followers take them each describe one side of that condition.

Limits

Lead and atypicality measure the position of a filing's language, not its market share. Continued use records whether a product was still sold, not its profit. The estimates are associations within industry and year; the comparisons within firms rule out stable differences between firms, not choices that vary across a firm's own products.

References

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